

Outlook

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APR, affordability and later outcomes

Team,

Before this becomes another standing report, can we answer the real question?

Pricing wants to know whether loan spreads vary coherently with risk, affordability, collateral and later repayment outcomes. The possible stories are that later distress is concentrated in affordability edges rather than price, that channel or product creates unexplained pricing differences, or that higher spreads align with higher expected risk.

We looked at a version of this before. For the February 2020 review, please show what changed and whether the earlier conclusion still holds. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

Please prepare a working Excel file with the exception population and clear columns. The output must help us decide which pricing rules need review and which differences require conduct testing.

Data available: the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; monthly customer and KYC snapshots.

Please state the limitation plainly: This is an internal consistency and outcome review, not proof that a price is legally fair or actuarially optimal.

Thanks